

GNIOT Institute of Management Studies – PGDM (Batch 2020-22)**(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2021****TAX PLANNING AND MANAGEMENT****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 100]****INSTRUCTIONS:**

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A**(Short Answer Type Questions, do not exceed 100 words)****Q.1. Attempt all parts of the following:****(10×3=30)**

- (a) What is Tax Planning?
- (b) Distinguish Tax Avoidance and Tax Evasion.
- (c) How is gross annual value determined while computing income from house property?
- (d) Explain Tax Management in brief.
- (e) Distinguish Tax Planning and Tax Management.
- (f) What does salary mean for calculating exemption in respect of House Rent Allowance (HRA)?
- (g) How does the home loan support tax planning?
- (h) What do you mean by TDS? What is the logic behind inclusion of such provisions in the Income Tax Act?
- (i) Briefly explain types of capital asset.
- (j) What are due dates for filing return of income by an individual in different cases?

SECTION-B**(Long Answer Type Questions)****Attempt all questions of the following:****(4×10=40)****Q.2. (a) How will you define Capital Asset in terms of Income Tax Act, 1961?****OR**

- (b) Explain the provisions related to capital gain exemption under section 54F of The Income Tax Act, 1961.

Q.3. (a) Mr. X bought jewellery on 1st April, 2014 for a sum of rupees 2,00,000. He sold it for rupees 4,50,000 on 15th

November, 2020 to his friend Mr. Y. He invested rupees 50,000 in bonds of NHAI on 1st December, 2020. Cost Inflation Index for FY 2020-21 is 301 and FY 2014-15 is 240. Compute taxable capital gain for the assessment year 2021-22.

OR

- (b) Mr. X is employed with ABC & Co at a monthly basic salary of rupees 25,000 since 1st April, 2020. In addition, he gets dearness allowance (DA) as per terms of employment @40% of basic salary, House Rent Allowance @ 20% of basic salary. He stays at a house in Delhi for which he pays monthly rent of rupees 10,000. Calculate taxable HRA for the assessment year 2021-22.

Q.4. (a) Mr Mohan whose gross total income is rupees 5,40,000 has made following investments for the purpose of claiming deduction as per his tax planning: Own contribution to recognised provident fund rupees 25,000; Deposit in public provident fund rupees 65,000; National Saving Certificates (NSC) rupees 40,000; Life insurance premium rupees 30,000 during FY 2020-21. You are required to compute his total income for the assessment year 2021-22.

OR

(b) Mr Ram took a loan of rupees 4,00,000 @ 10% p.a. for constructing a house on June 1st, 2015. Construction of the house is completed on 10th January, 2021. Calculate interest allowable as deduction under section 24(b) of The Income Tax Act, 1961 for the assessment year 2021-22.

Q.5. (a) Mr X purchased silver on March 10, 1999 for rupees 58,000 which was sold by him on June 10, 2020 for rupees 8,00,000. Fair market value as on 1st April, 2001 was rupees 60,000. Cost Inflation Index for the FY 2020-21 is 301 and FY 2001-02 is 100. Compute amount of taxable capital gain for the assessment year 2021-22.

OR

(b) Mr Sohan has a self occupied house which was constructed on 1st October, 2018 with the help of a bank loan of rupees 10,00,000 taken on 1st April, 2017 @ 12% p.a. Municipal value of the house is rupees 1,20,000 and fair rent rupees 1,50,000. Municipal tax is 10% of municipal value. Compute his income from house property for the assessment year 2021-22.

SECTION-C

Mr X, resident in India, has two houses - one in Delhi and the other in Greater Noida.

Delhi house is let out throughout the year at a monthly rent of rupees 25,000. Its municipal value is rupees 3,50,000, fair rent rupees 4,00,000 and standard rent rupees 2,80,000. Municipal tax is 10% of municipal value which is paid by the tenant. Construction of this house was completed on 1st November, 2019 for which he took a loan of rupees 20 lakhs from SBI @ 9% p.a. on 1st April, 2018.

The other house at Greater Noida is self occupied which was constructed by him at a total cost of rupees 30 lakhs during 2013-14 but he transferred this house on 1st April, 2020 for a consideration of rupees 80 lakhs as declared in the Conveyance Deed. Stamp Duty value of the house was determined as rupees 95 lakhs. He purchased a new house for rupees 20 lakhs on 1st February, 2021 as part of his tax planning to minimise his tax incidence. Cost Inflation Index for the relevant financial year is provided as under:

2013-14	220
2020-21	301

Q.6. Attempt all parts of the following:

(2×15=30)

Case Questions

6(a) Compute taxable Income from House Property of Mr. X

6(b) Compute his income from capital gain for the assessment year 2021-22.